

complaint

Mr and Mrs W complain that their water damage claim has been recorded against their policy by AXA Insurance UK Plc as flood rather than an escape of water.

background

Mr and Mrs W's property was damaged in October 2013 when a significant amount of water entered the ground floor. AXA dealt with the claim and recorded it as a flood. At the next policy renewal, Mr and Mrs W were surprised to note that the claim had been recorded as a flood because they said the loss adjuster that visited them told them the damage had been caused by an escape of water. Because the claim had been recorded as a flood, the policy excess for flood damage was increased to £10,000 and to £2,500 for subsidence, heave and landslip.

Mr and Mrs W complained to AXA. They said the damage had been caused when a pump housed in a chamber in their garden failed. They said it was the failure of the pump, rather than the volume of the rain, which allowed rainwater to build up and enter their property. AXA disagreed. It said there'd been heavy rainfall which had caused the drainage system to back up meaning the water flowed over ground before entering the property.

Mr and Mrs W said that they'd experienced considerably heavier and prolonged rainfall before this incident without it entering the property. They said it was the technical failure of the pump that allowed the water to escape.

Mr and Mrs W complained to this service. Our adjudicator investigated the complaint and recommended that it was upheld. She said AXA's description of the damage, together with the policy definition of escape of water, meant it was reasonable to think the damage had been caused by an escape of water. She said the pump in question should be classed as an apparatus from which the water had escaped.

AXA disagreed with our adjudicator. It said it felt strongly that the claim was a flood because the drains aren't part of the domestic water system. So, it thinks it can't be classed as a water tank, apparatus or pipe as required by the policy for escape of water claims. AXA also said that there was localised flooding that night which supports its view that the damage was caused by a flood.

The complaint was referred to me for a decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The relevant policy condition says:-

"This policy covers the buildings for loss or damage directly caused by....Escape of water from and frost damage to fixed water tanks, apparatus and pipes"

There are notes in AXA's file which say:-

“The drainage system has been specifically installed to deal with ground water....Because this pump has failed for some reason the rainwater will have flowed back up the drainage system and then over ground in [to] the house.”

There is no policy definition for apparatus. The policy doesn't say that, to be valid, any escape of water must come from part of the domestic water system - as argued by AXA.

In the absence of either, I think it's reasonable to say that the water pump can be classed as a 'water apparatus' as required by the policy condition. AXA has said the *drain* isn't a water apparatus – that's as may be, but I think it's reasonable to say that the *pump* is. Its sole purpose seems is to ensure water is pumped away from the home. The pump failed, so water escaped from the drain and entered the property as a result of that failure. The amount of rainfall was irrelevant – the fact that the pump failed caused the water to escape the drain and enter the property regardless of the quantity of rain that fell that night.

AXA say that the water doesn't amount to an escape of water because it wasn't in the drainage pipe. AXA hasn't said why water has to escape from a drainage pipe in order to fall within the escape of water peril (as set out in this policy). It says the water has arrived from an external source. As I've said, the water arrived because the pump failed. The fact this was external, isn't relevant – there isn't any exclusion for water arriving from an external source within the policy. The drain couldn't cope because the pump failed. The water escaped because the pump failed.

I think it's reasonable to say that this claim should be recorded against the policy as an escape of water claim rather than a flood.

my final decision

My final decision is that I uphold this complaint.

I require AXA Insurance UK Plc to change the classification of Mr and Mrs W's October 2013 claim from flood to escape of water.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs W to accept or reject my decision before 11 January 2016.

Claire Woollerson
ombudsman